Form 1040

U.S. Individual Income Tax Return

Department of the Treasury - Internal Revenue Service. Filed jointly. Prepared as a preparer draft for senior review (see Preparer Review Memo).

OMB No. 1545-0074
Tax Year 2024

Name(s) shown on return: Robert (Bob) Smith Jr. and Lisa Marie Smith | SSN: 333-44-5555 (Taxpayer), 444-55-6666 (Spouse)
Taxpayer: Robert (Bob) Smith Jr., DOB 12/19/1974, Salesman. Spouse: Lisa Marie Smith, DOB 11/21/1976, Teacher. Home address: 123 Smith Street, San Antonio, TX 78253 (Bexar County).

Filing Status: [ ] Single [ ] Head of household **[X] Married filing jointly** [ ] Married filing separately [ ] Qualifying surviving spouse.
Presidential Election Campaign: Taxpayer [ ] Spouse [ ] (no designation assumed). Digital assets question: **No** (per intake).

Dependents (1) First name / last name	(2) Social security number	(3) Relationship	(4) Child tax credit	(5) Credit for other dependents
Robert Smith III	111-22-7777	Son (DOB 04/07/2018)	X	
Melissa Smith	222-33-7777	Daughter (DOB 04/07/2018)	X	
Judith Smith	777-88-9999	Daughter (DOB 06/09/2010)	X	

Income

1a	Total amount from Form(s) W-2, box 1 (Bob $132,465.05 + $102,468.69; Lisa $92,068.87 + $3,406.43 excess 401(k) deferral, see memo)	330,409.04
1b-1h	Household employee wages, tip income, Medicaid waiver, dependent care benefits, adoption benefits, Form 8919, other earned income, combat pay	0.00
1z	**Add lines 1a through 1h**	**330,409.04**
2a	Tax-exempt interest	0.00
2b	Taxable interest (Schedule B: Yellow Rose Bank $1,008.21; TX Lending Co. $107.88)	1,116.09
3a	Qualified dividends (Yellow Rose Bank 1099-DIV, box 1b)	4,897.86
3b	Ordinary dividends (Yellow Rose Bank 1099-DIV, box 1a)	6,744.05
4a-6b	IRA distributions, pensions and annuities, Social Security benefits (none reported)	0.00
7	**Capital gain or (loss). Attach Schedule D (net short-term loss (6,694.10) + net long-term gain 33,077.44)**	**26,383.34**
8	Additional income from Schedule 1, line 10	0.00
9	**Total income. Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8**	**364,652.52**
10	Adjustments to income from Schedule 1, line 26 (educator expenses)	300.00
11	**Adjusted gross income. Subtract line 10 from line 9**	**364,352.52**

Form 1040 (continued)

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Standard deduction, tax, credits, payments
Page 2. Taxpayer: Robert (Bob) Smith Jr. / Spouse: Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

Tax and Credits

12	Standard deduction for married filing jointly (itemized total $28,727.01 is lower; see memo)	29,200.00
13	Qualified business income deduction from Form 8995 (20% of Section 199A REIT dividends, Lisa 1099-DIV box 5)	42.96
14	Add lines 12 and 13	29,242.96
15	**Taxable income. Subtract line 14 from line 11 (not less than zero)**	**335,109.56**

Total Tax

16	Tax (Qualified Dividends and Capital Gain Tax Worksheet; ordinary tax $59,003.81 + 15% on $31,281.20 preferential income $4,692.18)	63,695.99
17	Amount from Schedule 2, line 3 (AMT; Form 6251 not required, tentative minimum tax $56,632.72 is below regular tax)	0.00
18	**Add lines 16 and 17**	**63,695.99**
19	Child tax credit or credit for other dependents. Attach Schedule 8812 (3 qualifying children x $2,000)	6,000.00
20	Amount from Schedule 3, line 8 (child and dependent care credit $328.00 + foreign tax credit $211.05)	539.05
21	**Add lines 19 and 20**	**6,539.05**
22	**Subtract line 21 from line 18. If zero or less, enter -0-**	**57,156.94**
23	Other taxes, from Schedule 2, line 21 (Additional Medicare Tax $930.68 + Net Investment Income Tax $1,301.25)	2,231.93
24	**Total tax. Add lines 22 and 23**	**59,388.87**

Payments

25a	Federal income tax withheld from Forms W-2 (Bob $9,642.23 + $7,465.85; Lisa $8,286.20)	25,394.28
25b	Federal income tax withheld from Forms 1099	0.00
25c	Federal income tax withheld from other forms (incl. Form 8959 line 24)	0.00
25d	**Add lines 25a through 25c**	**25,394.28**
26	2024 estimated tax payments (4/2/24 $3,380; 7/4/24 $3,275; 10/2/24 $3,455; 1/5/25 $3,575 applied to 2024)	13,685.00
27	Earned income credit (EIC)	0.00
28	Additional child tax credit (Schedule 8812)	0.00
29	American opportunity credit (Form 8863)	0.00
30	Reserved	
31	Amount from Schedule 3, line 15 (excess Social Security tax withheld by two employers, Schedule 3 line 11)	4,112.69
32	**Add lines 27, 28, 29, and 31. These are your total other payments and refundable credits**	**4,112.69**
33	**Total payments. Add lines 25d, 26, and 32**	**43,191.97**

Refund or Amount You Owe

34	If line 33 is more than line 24, subtract line 24 from line 33. This is the amount you overpaid	0.00
35a	Refund (direct deposit not requested per intake; no refund due)	0.00
36	Amount of line 34 you want applied to your 2025 estimated tax	0.00
37	**Amount you owe. Subtract line 33 from line 24 (pay by due date via IRS Direct Pay, EFTPS or with Form 1040-V)**	**16,196.90**
38	Estimated tax penalty (Form 2210). Not computed: 2023 tax was not provided; see memo	0.00

Sign Here (joint return. Both spouses must sign). Taxpayer signature: _____ Date: _____ Spouse signature: _____ Date: _____

Paid preparer: _____ Preparer PTIN: [to be entered by senior] Firm name: [Firm] Firm EIN: [__]

Identity Protection PIN: [if assigned] Taxpayer [ ] Spouse [ ]. Third-party designee: [ ] No.

Schedule 1 (Form 1040)

Additional Income and Adjustments to Income

Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

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Part I: Additional Income

1	Taxable refunds, credits, or offsets of state and local income taxes (none; Texas has no income tax)	0.00
2a-7	Alimony, business, other gains, rental, farm, unemployment (none reported beyond Schedule D)	0.00
8z	Other income (none)	0.00
9	Total additional income. Add lines 1 through 8	0.00
10	**Combine lines 1 through 9. Enter here and on Form 1040, line 8**	**0.00**

Part II: Adjustments to Income

11	Educator expenses. Lisa (K-12 teacher) spent about $730 on classroom items; deduction capped at $300 per eligible educator	300.00
12-19	Business expenses of reservists, performing artists, fee-basis officials, HSA, moving, SE tax, SEP, SE health, penalty, alimony (none)	0.00
20	IRA deduction (none)	0.00
21	Student loan interest deduction. Lisa's Form 1098-E shows $4,312 but MAGI of $364,352 is above the 2024 MFJ phase-out end of $195,000, so $0	0.00
22-25	Reserved / other adjustments (none)	0.00
26	**Total adjustments. Add lines 11 through 25. Enter here and on Form 1040, line 10**	**300.00**

Schedule 2 (Form 1040)

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Additional Taxes
Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

Part I: Tax

1	Alternative minimum tax (Form 6251 not required: tentative minimum tax $56,632.72 is less than regular tax $63,695.99)	0.00
2	Excess advance premium tax credit repayment (Form 8962; no marketplace coverage per intake)	0.00
3	**Add lines 1 and 2. Enter here and on Form 1040, line 17**	**0.00**

Part II: Other Taxes

4-10	Self-employment tax, unreported Social Security/Medicare tax, additional IRA/HSA taxes, household employment, first-time homebuyer repayment (none)	0.00
11	Additional Medicare Tax. Form 8959: 0.9% of Medicare wages over $250,000 (combined $353,409.04)	930.68
12	Net investment income tax. Form 8960: 3.8% of lesser of NII $34,243.48 or MAGI over $250,000	1,301.25
13-20	Reserved and other taxes (none)	0.00
21	**Total other taxes. Add lines 4 through 20. Enter here and on Form 1040, line 23**	**2,231.93**

Schedule 3 (Form 1040)

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Additional Credits and Payments
Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

Part I: Nonrefundable Credits

1	Foreign tax credit. Foreign tax paid $211.05 (1099-DIV box 7) is within the $600 MFJ de minimis exception, so no Form 1116 is needed	211.05
2	Child and dependent care credit. Form 2441, line 11 (see Form 2441)	328.00
3-6	Education, retirement savings, residential energy, other credits (none)	0.00
8	**Add lines 1 through 7. Enter here and on Form 1040, line 20**	**539.05**

Part II: Other Payments and Refundable Credits

9	Net premium tax credit (Form 8962; none)	0.00
10	Amount paid with request for extension (Form 4868; none)	0.00
11	Excess Social Security and tier 1 RRTA tax withheld. Bob had two W-2 employers: combined SS tax $14,565.89 less 2024 maximum $10,453.20	4,112.69
12	Credit for federal tax on fuels (none)	0.00
13	Other payments or refundable credits (none)	0.00
15	**Add lines 9 through 14. Enter here and on Form 1040, line 31**	**4,112.69**

Schedule B (Form 1040)

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Interest and Ordinary Dividends
Required because ordinary dividends exceed $1,500. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

Part I - Interest

Line	Payer	Amount
1	Yellow Rose Bank, 456 Professional Blvd, Dallas TX 75211 (Bob, 1099-INT)	39.99
1	Yellow Rose Bank (Lisa, 1099-INT)	968.22
1	TX Lending Company, 777 Professional Blvd, Dallas TX 75211 (Bob, 1099-INT)	107.88
2	Add amounts on line 1 (interest). Enter total on Form 1040, line 2b	1,116.09
4	Excludable interest on series EE and I U.S. savings bonds (none)	0.00

Part II - Ordinary Dividends

Line	Payer	Amount
5	Yellow Rose Bank (Lisa, 1099-DIV box 1a). Qualified dividends $4,897.86 (box 1b); Section 199A dividends $214.79 (box 5)	6,744.05
6	Add amounts on line 5. Enter total on Form 1040, line 3b	6,744.05

Part III - Foreign Accounts and Trusts

7a. At any time during 2024, did you have a financial interest in or signature authority over a financial account located in a foreign country? **No** (per intake: no foreign bank accounts). 7b. Foreign account details: N/A. 8. Foreign trust: **No**. Note: 1099-DIV box 8 shows 'Various' foreign source; senior to confirm no foreign accounts.

Schedule D (Form 1040)

Capital Gains and Losses

Attach to Form 1040. Attach Form 8949. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

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Part I - Short-Term	(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
1a. Totals for transactions not reported on Form 8949	0.00	0.00	0.00	0.00
1b. Totals with Box A checked (Form 8949 Part I, Bob)	56.78	6,750.88	0.00	(6,694.10)
7. Net short-term capital gain or (loss)				(6,694.10)

Part II - Long-Term	(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
8a. Totals for transactions not reported on Form 8949	0.00	0.00	0.00	0.00
8b. Totals with Box D checked (Form 8949 Part II, Lisa)	43,877.03	11,268.00	468.41	33,077.44
15. Net long-term capital gain or (loss)				33,077.44

Part III - Summary

16	**Combine lines 7 and 15. Net gain of $26,383.34 (both lines are gains in combination, so Part III applies)**	**26,383.34**
17	Are lines 15 and 16 both gains? Yes. Go to line 18	
18	28% rate gain (collectibles) (none)	0.00
19	Unrecaptured section 1250 gain (none)	0.00
20	Are lines 18 and 19 zero or blank? Yes. Skip lines 21 and 22. Qualified Dividends and Capital Gain Tax Worksheet applies	
21	**Net capital gain carried to Form 1040, line 7 (line 16). Enter here and on Form 1040, line 7**	**26,383.34**

Form 8949

Sales and Other Dispositions of Capital Assets

Attach to Schedule D. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666. Basis reported to IRS (covered securities) assumed.

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Part I - Short-Term. Box A checked (basis reported to IRS, short-term)

(a) Description	(b) Date acquired	(c) Date sold	(d) Proceeds	(e) Cost	(f) Code	(g) Adj.	(h) Gain or (loss)
Bob. 11 shares of EXSTCK (L&R Investment Advisors, 1099-B)	03/08/2024	07/06/2024	56.78	6,750.88		0.00	(6,694.10)

Totals (Schedule D line 1b): proceeds 56.78; cost 6,750.88; adjustments 0.00; gain (loss) (6,694.10).

Part II - Long-Term. Box D checked (basis reported to IRS, long-term)

(a) Description	(b) Date acquired	(c) Date sold	(d) Proceeds	(e) Cost	(f) Code	(g) Adj.	(h) Gain or (loss)
Lisa. 18 shares of BLU-FOR CORP (Retro Investing Company, 1099-B)	04/08/2019	08/25/2024	43,877.03	11,268.00	W	468.41	33,077.44

Totals (Schedule D line 8b): proceeds 43,877.03; cost 11,268.00; adjustments 468.41; gain 33,077.44. Code W adjustment is the 1099-B wash sale loss disallowed (see memo, item on wash sale).

Form 2441

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Child and Dependent Care Expenses
Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

Part I - Care provider	Address	EIN	Amount paid
Children First Child Care Center of Texas	777 Childcare Way, Dallas, TX 75211	45-4564564	2,240.00

Qualifying persons paid: Robert Smith III (age 6) $820.00; Melissa Smith (age 6) $820.00; Judith Smith (age 14 at 12/31/2024, not disabled) $600.00 is excluded because she is 13 or older.

1	Persons cared for: Robert Smith III ($820.00) and Melissa Smith ($820.00). Judith excluded (age 13 or older)	
2	Qualified expenses incurred and paid in 2024 for qualifying persons	1,640.00
3	Enter the smaller of line 2 or the limit	1,640.00
4	Dependent care benefits received from employers (W-2 box 10 blank on all three W-2s)	0.00
5	Subtract line 4 from line 3	1,640.00
6	Enter the limit: $6,000 for two or more qualifying persons	6,000.00
7	Enter the smaller of line 5 or line 6 (qualified expenses)	1,640.00
8	Lower of earned income: Lisa (wages $92,068.87 + $3,406.43 excess deferral + elective deferral $26,406.43) = $121,881.73; Bob's income is higher	121,881.73
9	Adjusted gross income (Form 1040, line 11)	364,352.52
10	Decimal amount: AGI over $43,000, so 20% applies	0.20
11	**Credit: line 7 x line 10. Enter on Schedule 3, line 2**	**328.00**

Schedule 8812 (Form 1040)

Credits for Qualifying Children and Other Dependents

Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

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Qualifying child	SSN	DOB	Age at 12/31/2024	Credit
Robert Smith III (son)	111-22-7777	04/07/2018	6	2,000.00
Melissa Smith (daughter)	222-33-7777	04/07/2018	6	2,000.00
Judith Smith (daughter)	777-88-9999	06/09/2010	14	2,000.00

1	Number of qualifying children under age 17 (each has a valid SSN and qualifies)	3.00
2	Number of other dependents (none)	0.00
3	Child tax credit: line 1 x $2,000	6,000.00
4	Credit for other dependents: line 2 x $500	0.00
5	Add lines 3 and 4	6,000.00
6	Modified AGI (Form 1040, line 11)	364,352.52
7	Phase-out threshold, married filing jointly	400,000.00
8	Amount of phase-out reduction (AGI below threshold, so none)	0.00
9	Subtract line 8 from line 5	6,000.00
10	Child tax credit and credit for other dependents after phase-out; limited to tax	6,000.00
11	**Nonrefundable credit (limited to Form 1040, line 18): enter on Form 1040, line 19**	**6,000.00**
12	Additional child tax credit (refundable). Not applicable because tax liability exceeds the credit	0.00

Form 8959

OMB No. 1545-0074
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Additional Medicare Tax
Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

1	Medicare wages and tips (W-2 box 5): Bob X $132,465.05; Bob Z $102,468.69; Lisa $118,475.30	353,409.04
2	Unreported tips from Form 4137 (none)	0.00
3	Wages from Form 8919 (none)	0.00
4	Add lines 1, 2, and 3	353,409.04
5	Filing status threshold: married filing jointly	250,000.00
6	Subtract line 5 from line 4. If zero or less, enter -0-	103,409.04
7	**Additional Medicare Tax on Medicare wages: line 6 x 0.9%. Enter on Schedule 2, line 11**	**930.68**
18	Medicare tax withheld from W-2 box 6 (1,920.74 + 1,485.80 + 1,717.89)	5,124.43
19	Regular Medicare tax on Medicare wages (line 1 x 1.45%)	5,124.43
20	Additional Medicare Tax withheld by employers (no employer withheld on wages above $200,000)	0.00
24	Total additional Medicare Tax withheld. Enter on Form 1040, line 25c	0.00

Form 8960

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Net Investment Income Tax (Individuals)
Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666

1	Taxable interest (Schedule B)	1,116.09
2	Ordinary dividends (Schedule B)	6,744.05
5a	Net gain or loss from disposition of property (Schedule D, line 16)	26,383.34
8	Total investment income. Add lines 1 through 7	34,243.48
11	Total deductions and modifications (none)	0.00
12	**Net investment income. Line 8 minus line 11**	**34,243.48**
13	Modified adjusted gross income (Form 1040, line 11)	364,352.52
14	Threshold, married filing jointly	250,000.00
15	Subtract line 14 from line 13 (not less than zero)	114,352.52
16	Smaller of line 12 or line 15	34,243.48
17	**Net investment income tax: line 16 x 3.8%. Enter on Schedule 2, line 12**	**1,301.25**

Form 8995

Qualified Business Income Deduction (simplified)

Attach to Form 1040. Names: Robert Smith Jr. & Lisa Marie Smith. SSN 333-44-5555 / 444-55-6666. Taxable income before QBI deduction is below $383,900 (MFJ), so the simplified Form 8995 is used.

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1	Trade or business QBI (none; no self-employment or business income reported)	0.00
2	Qualified REIT dividends and PTP income: Section 199A dividends (Lisa 1099-DIV box 5)	214.79
3	Qualified REIT component: line 2 x 20%	42.96
4	Prior-year qualified REIT/PTP loss carryforward (none)	0.00
5	Total qualified business income component (line 3 + line 4)	42.96
6	Taxable income before QBI deduction (Form 1040, line 11 minus line 12)	335,152.52
7	Net capital gain (Schedule D line 16 $26,383.34) plus qualified dividends $4,897.86	31,281.20
8	Subtract line 7 from line 6	303,871.32
9	Income limitation: 20% of line 8	60,774.26
10	**QBI deduction: smaller of line 5 or line 9. Enter on Form 1040, line 13**	**42.96**

Form 8879

OMB No. 1545-0074
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IRS e-file Signature Authorization (Form 1040)
Retained by preparer; not transmitted. PIN fields are for taxpayers to complete. Values below are from this return.

1	Adjusted gross income (Form 1040, line 11)	364,352.52
2	Total tax (Form 1040, line 24)	59,388.87
3	Federal income tax withheld (Form 1040, line 25d)	25,394.28
4	Refund (Form 1040, line 35a)	0.00
5	**Amount you owe (Form 1040, line 37)**	**16,196.90**

Taxpayer PIN (5 digits): Robert Smith Jr. _____ Lisa Marie Smith _____ (to be selected by taxpayers; not pre-filled)

Date signed by taxpayers: _____ Electronic return originator (ERO) name: [_____] ERO EFIN: [_____]

Note: Form 8879 authorizes the e-file. Balance due of $16,196.90 can be paid by EFTPS, IRS Direct Pay, or check with Form 1040-V. Penalty and interest figures are not included in this amount.